Executive Summary

Airbnb Data (June 2024 - May 2025)

Understanding Economic Trends in NYC through Airbnb

Airbnb rental activity in New York City offers a unique lens into the city's economic rhythms. By analyzing over 95 million calendar-date-level entries from June 2024 to May 2025, we uncover meaningful signals about consumer behaviour, tourism recovery, inflation pressures, and neighbourhood-level market segmentation. This analysis surfaces three key economic themes: price inflation, growing affordability gaps, and occupancy softening despite elevated prices.

Key Finding 1: Price Growth Points to Tourism Recovery and Inflation

Average nightly calendar prices increased from $361 in June 2024to $512 in May 2025, representing a 41.7% year-over-year increase. The steepest growth occurred during the summer and early fall, with a 2024 peak of $494 in October. This aligns with NYC's seasonal tourism pattern, where summer visitation typically surges due to cultural programming, outdoor events, and milder weather (NYC Tourism + Conventions, 2024a).

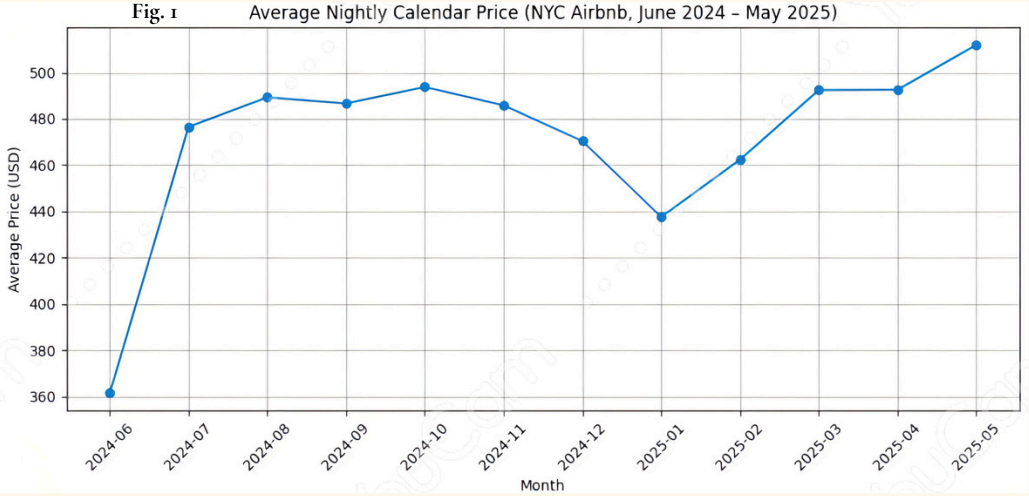
According to NYC Tourism + Conventions (2024b), visitor volumes are projected to surpass 64 million in 2024 and a projected 68 million total visitors to the city in 2025, reflecting a continued rebound from pandemic-era declines. This influx of demand enables hosts to raise prices, especially in centrally located neighborhoods with dense tourist infrastructure. Additionally, inflationary pressures, such as increased costs in hospitality and housing, likely contribute to sustained listing price increases (U.S. Bureau of Labor Statistics, 2025). According to U.S. Bureau of Labor Statistics reports a 3.9 percent increase in area all items CPI-U for 12 months ending in April 2025 (U.S. Bureau of Labor Statistics, 2025). See Fig. 1.

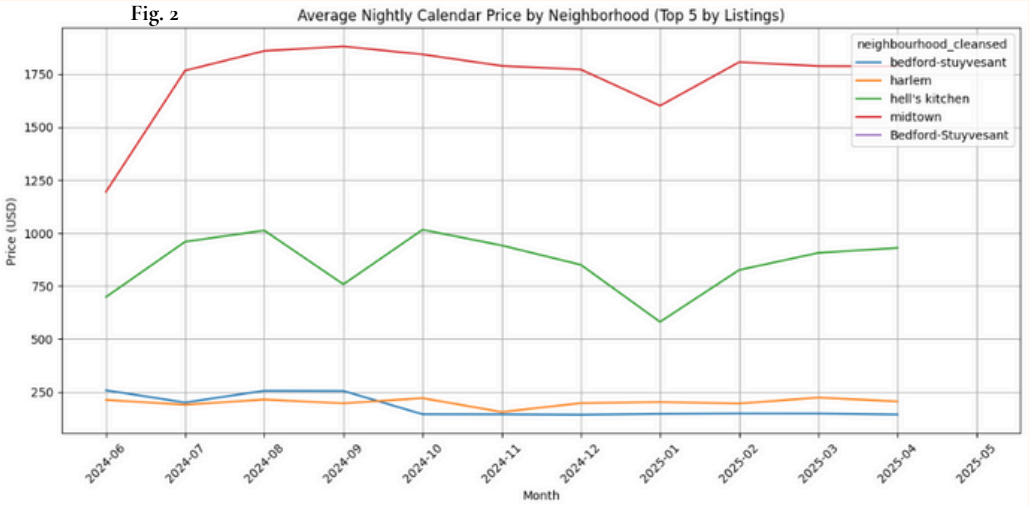
Key Finding 2: Price Divergence Widens - Some Neighbourhoods Stay Affordable

While citywide averages rose, neighbourhood-level analysis reveals persistent pricing divergence:

- Budget-friendly areas likeBedford-Stuyvesant, and Harlem maintained stable, low rates, generally under $250/night throughout the year. These areas appear to serve as budget-friendly anchors in the city's short-term rental ecosystem.
- In contrast, high-demand areas such as Midtown commanded significantly higher nightly rates, regularly exceeding $1500/night. Midtown's price volatility is also evident, likely stemming from fluctuating international and business travel.

This divide suggests that economic segmentation in travel preferences is sharpening. As some visitors prioritize affordability, these lower-cost neighborhoods may absorb budget-conscious demand, while premium neighborhoods chase luxury segments. See Fig. 2.

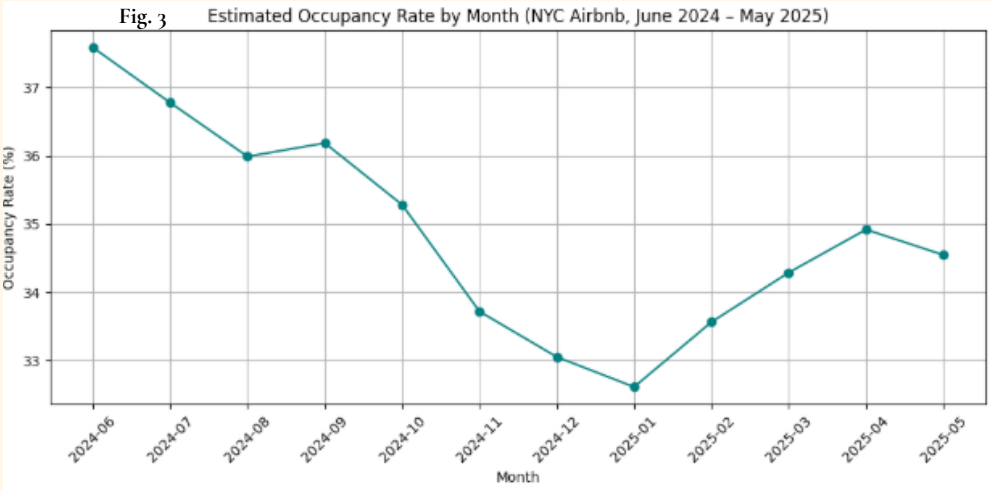




Key Finding 3: Occupancy Rates Flatten Despite Price Growth

While average prices climbed, occupancy rates declined slightly month-over-month (though you can see a bit of a rebound after January 2025), dropping from 37.6% in June 2024 to 34.5% in May 2025.

This inverse relationship implies a supply-demand mismatch—prices climbed while booking behavior softened. With inflation pressures persisting during this period (U.S. Bureau of Labor Statistics, 2025), some travelers may have shifted to alternative lodging or shorter stays. Airbnb's dynamic pricing may be overcompensating for peak months without matching demand, which could signal market saturation. See Fig. 3.



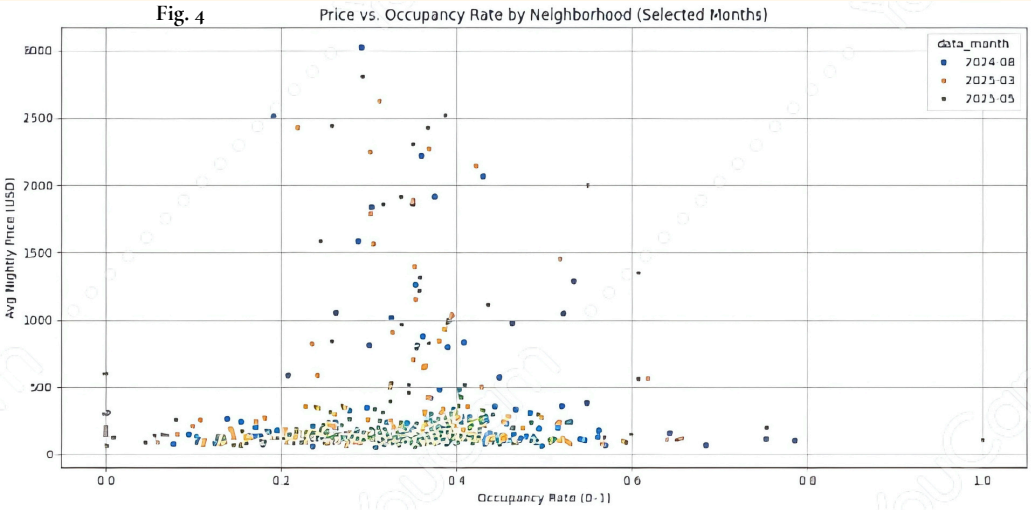
Cross-Month Analysis: Price vs. Occupancy by Neighbourhood

To investigate further, we compared price vs. occupancy trends across neighbourhoods in August 2024, March 2025, and May 2025 (See Fig. 4.). These three months were selected to capture:

- August 2024: peak summer demand
- March 2025: mid-season
- May 2025: spring rebound and high listing activity

Key observations:

- High price, low occupancy clusters remain consistent (e.g., luxury listings >$1,000/night with <40% occupancy for the most part).
- Affordable neighborhoods like Queens and Bedford-Stuyvesant consistently showed high occupancy at mid-to-low price points, indicating elastic, budget-conscious demand.
- Seasonal price spikes in August didn't yield proportional occupancy gains by May, suggesting overpricing or market hesitation.



Conclusion: Diverging Signals in a Maturing Market

This data paints a nuanced picture of New York City's short-term rental economy:

- Price growth remains strong, driven by tourism recovery and inflation.
- Affordability gaps are widening, reinforcing travel market segmentation.
- Occupancy is softening, hinting at a demand plateau — or early signs of oversupply.

Hypothesis: NYC's Airbnb market is approaching a saturation point on pricing. Unless economic conditions improve or value offerings adjust, we anticipate further occupancy softening — particularly in high-priced segments.
With over 95 million datapoints, this dataset doesn't just reflect rental behaviour — it offers a real-time barometer of urban economic sentiment and tourism resilience.

References

- NYC Tourism + Conventions. (2024a). 2024 Annual Report. Retrieved from https://corporate.nyctourism.com/annual-report/2024
- Airbnb, Inc. (2025). Inside Airbnb Data NYC (2024–2025). Retrieved from http://insideairbnb.com/get-the-data.html
- NYC Tourism + Conventions. (2024b). Travel & Tourism Trend Report 2024. Retrieved from https://assets.ctfassets.net/1aemqu6a6t65/6BRyGJLarJoQGAqp1dHzOM/d8d57848feb85721371dc2d9bd90091a/NYCTourismTrendReport_2024.pdf
- U.S. Bureau of Labor Statistics. (2025). Consumer Price Index, New York-Newark-Jersey City-April 2025. Retrieved from https://www.bls.gov/regions/northeast/news-release/consumerpriceindex_newyork.htm
- New York State Comptroller. (2025). NYC's Tourism Recovery: Spring 2025 Update (Report 04-2025). Retrieved from https://www.osc.ny.gov/files/reports/pdf/report-04-2025.pdf (did not use in citation but provides interesting stats on economic activity in NYC related to the objectives outlined in this report.